Chapter Fifty-Six

Financial Sector Reforms

The Indian financial system, as shaped by policies over the years, is a mixed economy type of financial system, a mix of the public and private sectors.

Reforms of the Financial Sector since 1990s have Partially Undone the Damage

India started liberalizing the financial sector in the 1990s after industrial policy and trade policies reforms were initiated in 1991.

The banking sector was opened up in 1993 when ten private banks (PVBs) were given licences. These licences gave birth to today's private-sector banking giants like HDFC Bank, ICICI Bank and Axis Bank, though some of these ten licencees got waylaid on the way. As time went by, some more banking licences were given. Today, about 40 per cent of outstanding banking credit has been given by PVBs. In the past six years, more than 70 per cent of new credit flow has come from them.

The insurance industry was opened to the private sector in 1999 with the constitution of an insurance regulator and appropriate amendments in the Insurance Act. Foreign ownership was also permitted to the extent of 26 per cent in 2000, which was raised to 49 per cent in 2015. There are now twenty-three private life insurance companies and twenty-eight private general insurance companies out of twenty-four life insurance companies and thirty-three general insurance companies. Private non-life insurance companies have about 55 per cent share of the market and private life insurance companies a little over 30 per cent.